ELDON CHAMBERS

11 Eldon Place, Leeds LS1 5AB

MARLDALE AGGREGATES LIMITED v CRAYFORD PLANT ENGINEERING LIMITED

ADVICE ON MERITS AND QUANTUM

CONFIDENTIAL – PRIVILEGED

Introduction

1. I am asked to advise Marldale Aggregates Limited ("Marldale") on the merits of its claim against Crayford Plant Engineering Limited ("Crayford") and on the realistic recoverable quantum, in light of the Defence and Counterclaim served on 14 May 2025.

2. I have read the Supply Agreement of 14 June 2024, the production and breakdown records, the preliminary report of the plant engineer, and the parties' statements of case. My conclusions are summarised at paragraphs 18 to 21 below.

Liability

3. The contractual warranties are clear. Clause 7.1 is an unqualified throughput warranty of 320 tonnes per hour, and clause 7.3 an availability warranty of 95%. On Marldale's production data the Plant achieved at best about 210 tonnes per hour and roughly 71% availability. If those figures are made good in evidence, breach of the express warranties is, in my view, close to unanswerable.

4. Crayford's central answer is causation: that the failures and shortfall were caused by out-of-spec feed (oversize and abrasion) and by operator misuse and inadequate maintenance. This is the real battleground. The clause 7 warranties are expressed to apply to Schedule 2 stone, so Marldale must establish that its feed conformed to Schedule 2.

5. The contemporaneous evidence is helpful to Marldale. Ms Doust's diary records the fitter's remark that the toggle-seat casting looked "underspecified", and the service logs and grease checklists answer the maintenance allegation. The feed is screened to minus 600mm, which is inconsistent with the 700mm boulder allegation.

6. The single most important step is the joint expert evidence on the cause of the bearing and toggle failures. If the expert concludes that the failures are attributable to under-specification of the jaw assembly rather than feed or misuse, Marldale should succeed on liability.

Quantum

7. Marldale pleads £1,364,700 before interest. In my view the remedial/replacement head (£612,000) is well evidenced by the substitute-plant hire invoices and should largely be recovered, subject to a modest mitigation argument on the duration of the hire.

8. The loss-of-profit head (£648,500) is the most exposed. Crayford is entitled to credit for the operating costs Marldale saved during downtime, and a tribunal may discount the claimed margin. I would advise Marldale to expect recovery in the region of £450,000 to £520,000 on this head rather than the full figure.

9. The wasted-overheads head (£104,200) should be recoverable with proper supporting records.

10. The counterclaim for the £142,500 retention is, on the documents, a genuine cross-claim. Marldale withheld it precisely because of the defects, which is a legitimate basis for set-off, but it should be treated as a near-certain deduction if the main claim succeeds only in part.

Conclusion and Recommendation

11. In my opinion Marldale has a strong claim on liability (I put its prospects at around 70–75%, rising materially if the joint expert supports under-specification) but a realistic recoverable quantum, after the likely discount to loss of profit and after set-off of the £142,500 counterclaim, of the order of £1.0 to £1.1 million plus interest.

12. I would recommend that Marldale make a Part 36 offer to settle the whole proceedings (claim and counterclaim) at £950,000 inclusive of interest. That figure is below my central recovery estimate and should put real costs pressure on Crayford while leaving room to negotiate.

13. Subject to the expert evidence, I see no reason for Marldale to compromise on liability, and I would resist any global offer from Crayford below £850,000.

14. I am happy to advise further in conference once the joint expert's report is to hand.

HARRIET STANFORD

Eldon Chambers

1 July 2025